

Growth, Water Scarcity, and Long-Term Supply In Nevada

WHAT THIS CONVERSATION IS ABOUT

Nevada is managing several water pressures at once: Colorado River uncertainty, groundwater stress, growth, large users, rural and tribal interests, and ecosystems. Southern Nevada depends heavily on the Colorado River and Lake Mead, while rural and northern basins face questions about groundwater, agriculture, mining, large development, domestic wells, and ecosystems. This brief helps participants in small-group conversations to weigh statewide reliability, affordability, growth, rural and urban fairness, economic opportunity, tribal and ecosystem interests, and long-term stewardship.

WHAT NEVADANS ARE SAYING

Phase I comments show what some participants were worried about and asking. They are lived experience and public concern, not proof of water use, job counts, tax benefits, company motives, or hydrology unless separately supported by public sources.

"Nevada is the driest state in the nation. We must stop expansion in Las Vegas because there is no water. Lake Mead is being depleted and stealing water from the northern counties is not the answer. Stop with the data centers that are sucking up a massive amount of water also."

PHASE I A

"We are the driest state in the US and yet many of our primary industries are major water consumers. We are already witnessing the collapse of Walker Lake as use and recharge remain out of balance."

PHASE I A

"Data centers are taking up too much water and energy. Let's not add Nevada to the list of ruined communities."

PHASE I B

"They do not supply many jobs except for during construction. Of course the land is cheap here and they get tax discounts on capital gains and personal property."

PHASE I B

"The entities that invest, build and operate data centers do not care about water and electricity; when it runs out they will just exit the state leaving residents dry."

PHASE I B

KEY STATISTICS

10.3 in.

Nevada's statewide average annual precipitation is about 10.3 inches. [S1]

300k AFY

Nevada's basic Colorado River apportionment is 300,000 acre-feet per year of consumptive use. [S2, S9]

~70

LCB identified approximately 70 data center locations planned, under construction, or operational in Nevada. [S25]

~6 GW

Roughly a dozen data centers requested almost six gigawatts of power within the next decade, according to LCB's summary of MIT/NV Energy reporting. [S24, S25]

10 / 50

Data-center abatements can require 10 or 50 Nevada-resident full-time employees depending on the abatement pathway. [S27]

OPTIONS AND CHALLENGES

The options below are broad directions people could consider. They are not recommendations; each addresses a different part of water scarcity, growth, data-center accountability, or public trust.

Option family	Problem this responds to	What it might try to change	Key trade-off or challenge	What residents may want to discuss
Stretch existing supplies	Nevada has limited water, and new supplies are uncertain.	Conservation, turf conversion, leak reduction, reuse, pricing, water-loss management, and efficiency incentives.	Can reduce demand, but may raise equity, cost, enforcement, shade, landscaping, and fairness questions.	Which uses should be reduced first, and how should households or small businesses be protected?

Option family	Problem this responds to	What it might try to change	Key trade-off or challenge	What residents may want to discuss
Connect growth to water adequacy	New housing, industrial projects, and major development can add demand before residents trust that water is reliable.	Water-demand reporting, water-right dedication, drought reserves, regional review, and local/state coordination.	Could improve planning, but may affect housing supply, jobs, tax base, approval timelines, and local control.	What should count as adequate water: paper rights, physical supply, drought reliability, infrastructure, or all of these?
Increase transparency for data centers and large users	Residents want to know what major projects use and what communities receive in return.	Public reporting of projected and actual water use, water source, consumptive use, cooling technology, power demand, jobs, incentives, and mitigation.	Better information can build accountability, but data may be proprietary, technical, or misleading without context.	What information should be public before water- or power-intensive projects receive permits, incentives, or infrastructure?
Attach public-benefit conditions to incentives	Tax abatements and fast approvals can raise questions about whether benefits outweigh costs.	Job, wage, local hiring, water-efficiency, clean-energy, reporting, clawback, and community-benefit conditions.	Stronger conditions may protect the public, but could reduce investment or shift projects elsewhere.	What should count as a fair return for public incentives and scarce resources?
Manage stressed groundwater basins	Some basins show commitments, pumping, or water-level trends that may not match long-term supply.	Monitoring, basin plans, Critical Management Areas, voluntary water-right retirement, recharge, metering, or pumping reductions.	Could protect aquifers and wells, but may affect farms, ranches, rural economies, property interests, and trust.	Who should pay to reduce overuse, and how should existing rights and domestic wells be treated?
Prepare for Colorado River uncertainty	Current shortage rules are temporary, and post-2026 operations remain under development.	Shortage sharing, banking, return-flow credits, conservation credits, drought planning, and federal-state coordination.	May protect reliability, but Nevada has a small river allocation and depends on other states and federal decisions.	What should Nevada defend in regional negotiations, and what compromises would be acceptable?
Protect rural, tribal, ecosystem, and household impacts	Scarcity can show up as ecosystem decline, rural stress, tribal-government concerns, domestic-well risk, or higher household costs.	Restoration, voluntary water transactions, rural-community support, tribal engagement, affordability protections, and monitoring.	Can support habitat and community values, but may require funding, long timelines, and hard choices about existing uses.	Which rural, tribal, ecosystem, and affordability impacts should be considered before decisions are made?

CROSS-CUTTING TRADE-OFFS

Economic development versus scarce water and power.	Construction jobs versus permanent jobs.	Tax abatements versus public services and long-term accountability.	Facility-level water efficiency versus indirect water use from electricity generation.
Local approval speed versus regional resource review.	Public transparency versus proprietary business information.	Existing water rights versus future sustainability.	Urban growth and data centers versus rural, tribal, agricultural, and ecosystem needs.

KEY QUESTIONS

1 What should Nevada require before a major project receives water, electricity, permits, or tax incentives?	2 What information about water use, energy demand, cooling technology, jobs, and tax benefits should be public?
3 How should Nevada compare data centers with other major water users such as agriculture, mining, housing growth, and industrial projects?	4 Should scarce-water policy focus first on conservation, growth review, large-user transparency, groundwater rebalancing, or public-benefit conditions?
5 How should rural, tribal, ecosystem, and household impacts be weighed against economic-development goals?	6 What would make residents trust that water decisions are being made for long-term public benefit?

STATE OF PLAY

Nevada is dry by geography and climate, and water pressure varies by region. Southern Nevada's largest supply issue is tied to Colorado River conditions and interstate rules. In rural and northern Nevada, groundwater conditions, agriculture, mining, development,

Water impacts depend on design. Data centers may use water directly for cooling, indirectly through electricity generation, or both. Cooling technology, water source, local hydrology, whether water is

domestic wells, tribal interests, and ecosystems raise different questions. [S1, S2, S9, S13, S15]

Data centers add a sharper large-project question. A 2026 Nevada Legislative Counsel Bureau memo identified approximately 70 data center locations planned, under construction, or operational in Nevada, while warning that the number of locations does not necessarily reflect power or water consumption. The same memo summarized MIT Technology Review reporting that roughly a dozen data center projects, mainly near the Tahoe-Reno Industrial Center, had requested almost six gigawatts of power within the next decade. [S24, S25]

GROWTH AND CLIMATE CONTEXT

Two background trends shape Nevada's long-term water picture. On the supply side, precipitation is low and uneven: average annual precipitation ranges from about 7.1 inches in southern Nevada to about 12.85 inches in the northeast, and it arrives at different times of year by region. Most of the water that reaches Nevada's rivers and the Colorado River begins as mountain snowpack that melts in spring, so the size and timing of the snowpack matter as much as total precipitation. The NRCS Nevada Snow Survey measures snow water equivalent to forecast that runoff, and water year 2026 brought a record-low snowpack across Nevada and the Colorado River Basin, with snow peaking far below normal and more than a month early. Year-to-year snowpack swings make future supply harder to predict. [S1, S29, S30]

HOW THIS WORKS IN NEVADA

Nevada water decisions are split across several levels of government. The State Engineer administers water rights and groundwater under state law, including permits, changes, basin administration, and some groundwater-management tools. Local governments shape land use, growth, zoning, and infrastructure decisions, but a local approval does not by itself create new water. [S10, S11, S13]

Southern Nevada's Colorado River supply is shaped by federal rules, interstate negotiations, the Colorado River Commission of Nevada, SNWA conservation programs, and return-flow accounting. Rural and northern water disputes often involve basin-by-basin groundwater conditions, agriculture, mining, domestic wells, and local economies. Tribal governments have sovereign interests and should be represented directly when a deeper process addresses tribal water issues. [S2, S8, S9, S13, S15]

Data-center decisions add more institutions. GOED and the Board of Economic Development handle tax abatement approvals. The Public Utilities Commission of Nevada regulates investor-owned electric utilities. Local planning commissions and city or county governments review land use. Regional planning can apply when a project meets a Project of Regional Significance threshold, including specified water-use levels in northern Nevada. Water utilities and general improvement districts may provide water service depending on location. [S25, S26, S27]

WHAT IS CURRENTLY BEING TRIED, PROPOSED, OR DEBATED

Conservation and shortage planning

Southern Nevada continues to rely on conservation, turf removal, reuse, return-flow credits, and shortage planning. Colorado River users are also negotiating new post-2026 operating rules. [S2, S3, S7, S8, S9]

Groundwater management

Groundwater debates include how to manage basins where legal commitments, pumping, or local conditions may exceed long-term supply. Nevada law includes groundwater-management tools. [S10, S11, S13, S14]

withdrawn or consumed, and whether water is potable, effluent, recycled, or returned all matter. [S24, S25]

The public-benefit side is also complicated. Nevada law allows data-center partial abatements from personal property tax and sales/use tax for qualifying projects. GOED materials describe 75 percent personal property tax abatements and sales/use tax reductions to 2 percent for 10 or 20 years when requirements are met. NRS 360.754 includes job, wage, health-benefit, construction-worker, capital-investment, operation, and repayment provisions. [S26, S27]

Data-center policy

The LCB memo describes local permitting, water utility roles, GOED abatements, PUCN-regulated electric service, and regional review for certain large projects. [S25]

National electricity demand

DOE reports that data centers consumed about 4.4 percent of total U.S. electricity in 2023 and are expected to consume about 6.7 to 12 percent by 2028. [S28]

SELECTED SOURCES

Source key: `P` sources are Forum process inputs, such as Phase I resident input. `S` sources are public source materials used for factual, legal, program, or background claims.

[P1A] Phase I Input A: ../00-phase-i-intake/phase-i-input-a-water-scarcity.md

[P1B] Phase I Input B: ../00-phase-i-intake/phase-i-input-b-data-centers.md

[S1] Nevada State Climate Office, "About Nevada's climate," <https://www.unr.edu/nevada-climate-office/about-our-climate>

[S2] Southern Nevada Water Authority, "Where your water comes from," <https://www.snwa.com/water-resources/where-water-comes-from/>

[S3] Southern Nevada Water Authority, "What we're doing to conserve," <https://www.snwa.com/water-resources/conservation-initiatives/index.html>

[S7] Bureau of Reclamation, Lower Colorado River 24-Month Study, <https://usbr.gov/lc/region/q4000/24mo.pdf>

[S8] Bureau of Reclamation, Post-2026 Colorado River Operations, <https://www.usbr.gov/ColoradoRiverBasin/post2026/alternatives/index.html>

[S9] Colorado River Commission of Nevada, Natural Resources Division, <https://www.crc.nv.gov/more-information/natural-and-environmental-resources/>

[S10] Nevada Revised Statutes Chapter 533, <https://leg.state.nv.us/NRS/NRS-533.html>

[S11] Nevada Revised Statutes Chapter 534, <https://www.leg.state.nv.us/nrs/NRS-534.html>

[S13] Nevada Division of Water Resources, Water Planning, <https://water.nv.gov/programs/water-planning>

[S14] Nevada Division of Water Resources, Basin Status Maps, https://water.nv.gov/uploads/bulletin-board-docs/Basin_Status_Maps_2023.pdf

[S15] USGS Nevada Water Science Center, Water Availability and Use, <https://www.usgs.gov/centers/nevada-water-science-center/science/water-availability-and-use>

[S24] MIT Technology Review, "The data center boom in the desert," <https://www.technologyreview.com/2025/05/20/1116287/ai-data-centers-nevada-water-reno-computing-environmental-impact/>

[S25] Nevada Legislative Counsel Bureau, "Data Centers - Background Information," <https://www.leg.state.nv.us/App/InterimCommittee/REL/Document/32531>

[S26] Nevada Governor's Office of Economic Development, "Tax Abatements Overview," <https://goed.nv.gov/wp-content/uploads/2024/05/Tax-Abatement-Overview-May-2024-1.pdf>

[S27] NRS 360.754, Data center partial abatement, https://nevada.public.law/statutes/nrs_360.754

[S28] U.S. Department of Energy, "DOE Releases New Report Evaluating Increase in Electricity Demand from Data Centers," <https://www.energy.gov/articles/doe-releases-new-report-evaluating-increase-electricity-demand-data-centers>

[S29] NRCS Nevada Snow Survey & Water Supply Forecasting, <https://www.nrcs.usda.gov/nevada/snow-survey>

[S30] NOAA / NIDIS Drought.gov, "Snow Drought Current Conditions and Impacts in the West" (April 9, 2026), <https://www.drought.gov/drought-status-updates/snow-drought-current-conditions-and-impacts-west-2026-04-09>

[S31] Nevada State Demographer (Nevada Department of Taxation), "Nevada County Population Projections" (20-year projections under NRS 360.289), <https://tax.nv.gov/>

Source note: This brief uses state, federal, regional, and legislative research sources for factual claims where possible. Some current proposals and public concerns are included to show what people are debating; those items should be read as evolving issues rather than settled facts. Phase I comments are included to show what some participants cared about, not to prove hydrology, law, utility impacts, company behavior, or economics.

Process note: This issue brief is intended to support real-time community conversations on the described issue. It was produced using AI-assisted research and design plus human review. We acknowledge the possibility of errors, omissions, and unintended biases.